

Section 1

New Rules of Business

Chapter 1

Winning in the VUCA World: Key Principles and Transformation Priorities for Enterprises

Key Takeaways

What is VUCA?

Key forces leading to change

Complications of operating in a VUCA world

Rules of management to win in the VUCA world

Lesson 1: Five Key Forces of Disruption Leading to Unprecedented Velocity of Change

1. **Technology disruption**

The velocity of technology changes and business disruption we are witnessing is unprecedented. Mobile, e-commerce, cloud, big data, etc., have changed consumer behaviour and business models dramatically in less than fifteen years of their existence. We are now into the next phase of technological advancement, with artificial intelligence, robotics, machine learning, blockchain and the 'internet of things' dominating mindshare. The rate at which technology is changing makes it difficult to pivot on any one trend. Moreover, technology changes are a great equalizer: large organizations that are not nimble are often at a disadvantage in leveraging technology changes. Smart entrepreneurs and young companies are often best placed to experiment with and leverage new technologies.

2. **Changing expectations of customers**

Technology disruptions are changing customer preferences dramatically. You are definitely dealing with a digitally savvy, significantly more aware and demanding customer. According to research by Accenture, 91 per cent of consumers say they are more likely to shop with brands providing offers and recommendations that are relevant to them. Two specific points to call out:

- Different sets of customers can have very different expectations of the same experience. For example, customer expectations of the digital experience with an e-commerce company might be very different across segments: from convenience for the top-tier to value-seeking for the mid-tier segments. It is important to understand this and to design targeted customer offerings accordingly. Additionally, it must be remembered that it is not just customer segmentation but personalization too that is becoming increasingly important.
- Digital is leading to greater information transparency for customers, on matters ranging from the composition and manufacturing details of food products to pricing in insurance. In many cases, transparency is leading to downward pressure on pricing.

3. **Shift of wealth from West to East**

Purchasing power in developing countries like China, India and Brazil and many others is growing. A BCG study says that by 2023, Asia will represent 37 per cent of total cross-border assets, up from 31 per cent in 2018.³ Equally, growth in the traditional developed markets is becoming a challenge, as their population pyramid continues to age. This is creating tremendous growth opportunities for homegrown companies in developing markets, and challenges for many established majors who are focused on developed markets. This is also forcing

multinational companies (MNCs) to look East, thereby creating tremendous competition ('hyper-competition') in these markets.

4. **Geopolitical uncertainty**

Over the past two or three years, global politics has become unpredictable, in fact near bizarre. A few years ago, we were proclaiming that the world is flat and we are a global village. Suddenly, we see a resurgence of nationalism and protectionism coming up in the most unlikely places. The Covid-19 pandemic has further disrupted economies and businesses, putting time-tested business strategies, people practices and assumptions to the test. These sudden changes have not just brought in a lot of regulatory uncertainty, they have disrupted well-established business models too, and have had a devastating impact on small businesses and daily wage earners.

5. **Shortening product and business cycles**

With rapid technology changes and hyper-competition, product and business cycles are shrinking dramatically. It does not take very long for the hunter to become the hunted. Take the example of the Indian IT industry. It created the global outsourcing industry, which has disrupted a number of traditional operational processes and delivery models over the last twenty years. However, it is now facing growth challenges and is being forced to reinvent itself or risk getting thrown off the rails by disruption.

Lesson 2: Complications of Operating in a VUCA World

The combination of technological innovation, shortening business cycles, hyper-competition and shifting of traditional markets is creating unprecedented uncertainty and a high velocity of change. The acronym VUCA best describes this world:

- V: Volatility – High degree and speed of change.
- U: Uncertainty – *The lack of predictability*, the prospect of *surprise*.
- C: Complexity – *The multiplex of forces*, the confounding nature of issues, absence of cause-and-effect chains and the confusion that generally surrounds the organization today.
- A: Ambiguity – *The haziness of reality*, the potential for being misread, the mixed meanings of conditions; and cause-and-effect confusion.

Management rules developed for a more structured, stable environment will most certainly not work in the VUCA world. This is a great challenge for managers (especially those of us above the age of forty!) as they need to unlearn what has made them successful so far.

Organizations are not ready for the VUCA world

Traditional organizations are, as expected, struggling in the VUCA world. However, it is not that new-age companies are necessarily set up for success either.

Traditional organizations are struggling to adapt to the pace of change. The following factors retard their progress:

- *'Innovator's dilemma'* (*The Innovator's Dilemma* a seminal book by Clayton Christensen): New disruptive technologies cause great firms to fail. The same practices that had led the businesses to success in the first place can also result in their eventual demise.
- *Inertia and 'risk-averse' culture*: Fear of failure can destroy a glorious legacy.

Lack of capabilities required to compete in the new business environment, especially lack of technology DNA: The dramatic demise of the traditional retail giants like Sears and JCPenney in the US are good illustrations of this. They were not able to anticipate the e-commerce onslaught and the technological capabilities required to compete in the industry.

Nitin's Insight: *At Fidelity, I experienced the challenges faced by a traditional, successful company. It is a very profitable business and a great company, but with the industry going through significant disruptions, the company required major changes in strategy. Some of the significant changes were:*

- *Shift in market structures: The rise of passive/index funds (versus actively managed funds), increasing regulation, ageing population and plateauing of growth in the core markets.*
- *The consequent shift in the business model, from product-centric to customer-centric; building of the enterprise's own distribution network; and the resultant focus on technological and operational efficiencies. This required a very different DNA from that of the 'alpha generation', whose focus had taken years to build and was thus not easy to change.*

New-age companies have high mortality. Many are not mature enough to negotiate their way ahead in this new world and only a few are able to scale up. The following situations or weaknesses are hurdles in their path to sustained success:

- Being in constant war mode: They are quick to market but not able to build long-term capabilities.
- Lack of experienced talent: Their leadership do not always have the resilience to battle through the ups and downs of a business cycle.
- Weak foundational capabilities and practices: Their enabling functions like HR and Finance, for example, have not kept pace with the business.
- Many have not built durable values and culture: These are key factors contributing to a lack of organizational resilience and longevity.

However, for both traditional and new-age companies, disruption presents breakthrough opportunities:

- It is not all doom and gloom for enterprises. Companies that master the art of leading in a VUCA world can create breakthrough businesses (and significant value) through disruption.
- The growth of tech-driven companies like Facebook, Uber, Airbnb and Tesla over the past ten years is illustrative of this. Each of these has offered a new customer proposition, built a new industry, and has created huge shareholder value in the process.
- In India, Flipkart and PayTM are great examples of firms benefiting from disruption, as is the e-commerce industry as a whole.

Lesson 3: Eight new rules of management to win in the VUCA world

Eight rules for winning in the VUCA World



- 1** Innovate and Shape the Future
- 2** Strategy lies in Connecting the Dots
- 3** Co-create with Customers
- 4** Every company has to become a Technology Company
- 5** Simplify Organization Structure and Processes
- 6** Build a Learning and Knowledge Sharing Organization
- 7** Build an Open Organization and a Web of Partnerships
- 8** Foster Entrepreneurial Leaders and Culture

Proprietary and confidential

When our world is changing so fundamentally, old rules of management are just not going to work. We need new rules to win in this new VUCA world. Based on my experience across digital natives like Flipkart and the more traditional companies like Fidelity and many others, I propose eight new rules of management to win in the VUCA world.

Rule 1 – Innovate and shape the future

The graphic for Rule 1 features a lightbulb icon with a swirl inside, symbolizing innovation. To the right of the icon is a vertical timeline with seven circles. The text is arranged in a list-like format, with each point corresponding to a circle on the timeline.

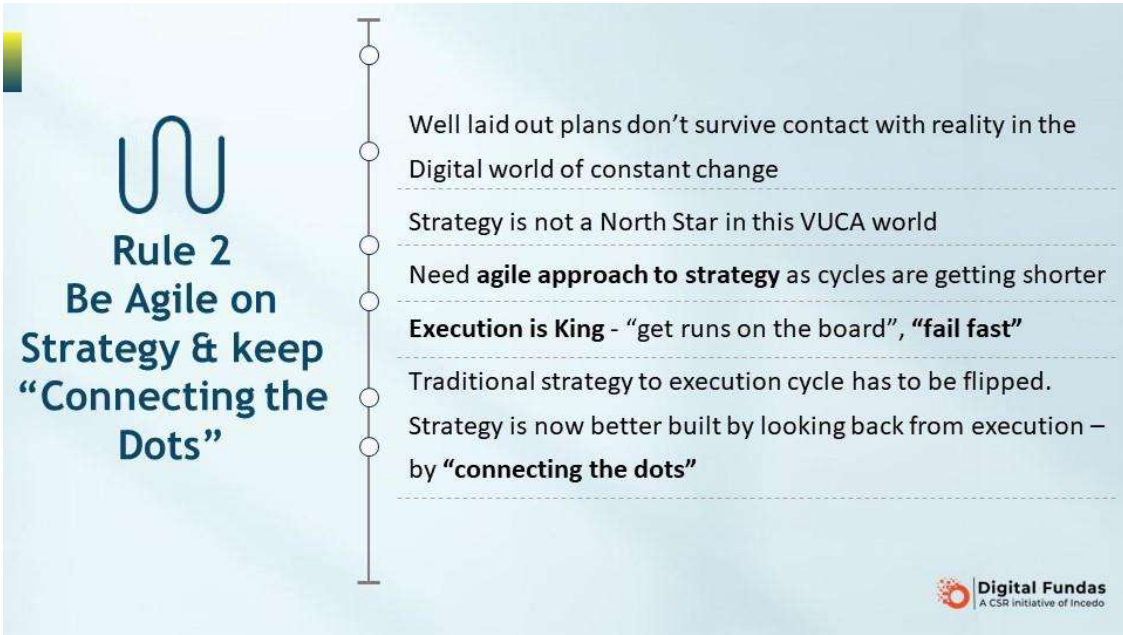
Rule 1
Innovate & Shape the Future

- Difficult to predict market evolution based on historical trends
- Markets have to be shaped
- Be Audacious, Think Big** and focus on constant innovation
- Business-As-Usual and incremental thinking is kiss of death
- Do not be afraid to **cannibalize yourself**
- You will need to reinvent your business every few years – move to a **new S Curve**

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Typically, companies use historical performance trends to define their future plans. That counts for little in the VUCA world, the e-commerce industry being a good example of this. Historical trends will not help predict market evolution; instead, *you* have to shape the markets. *You* have to be audacious, think big and constantly innovate. In that process, do not be afraid to cannibalize your own systems, processes, products or ideas. If you do not, somebody else will! The great Steve Jobs famously said, ‘Those who are crazy enough to believe that they can change the world are the ones who actually do so.’ That is the first management rule in the VUCA world!

Rule 2 – Strategy lies in connecting the dots

The graphic for Rule 2 features a wavy line icon, symbolizing strategy and flexibility. To the right of the icon is a vertical timeline with seven circles. The text is arranged in a list-like format, with each point corresponding to a circle on the timeline.

Rule 2
Be Agile on Strategy & keep “Connecting the Dots”

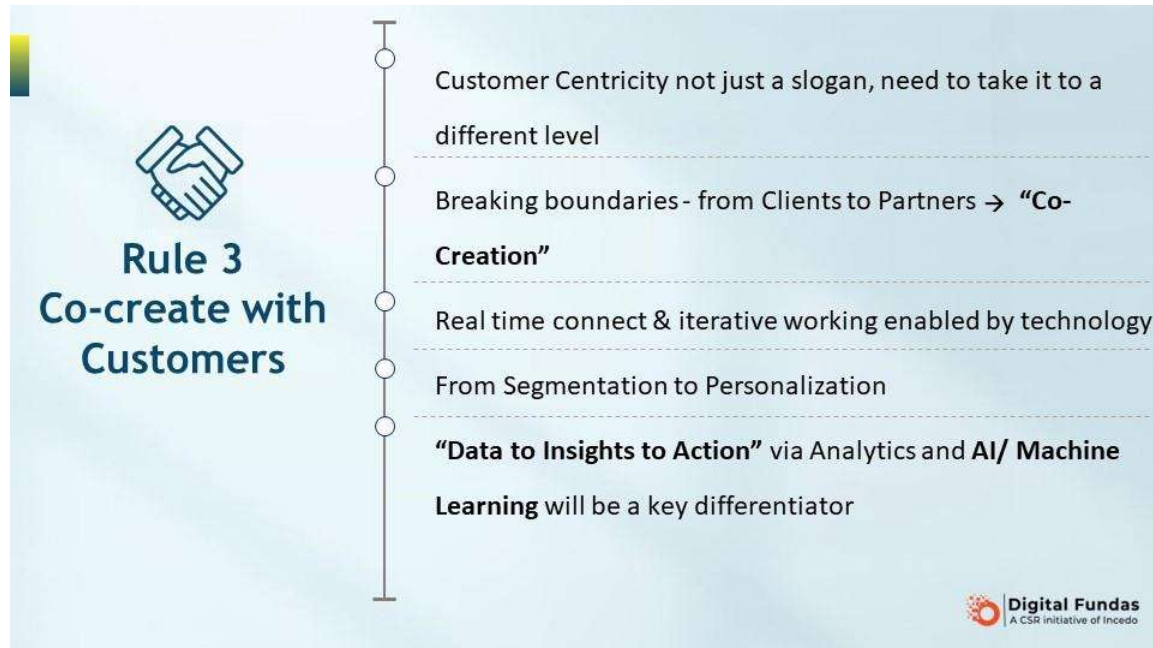
- Well laid out plans don’t survive contact with reality in the Digital world of constant change
- Strategy is not a North Star in this VUCA world
- Need **agile approach to strategy** as cycles are getting shorter
- Execution is King** - “get runs on the board”, “**fail fast**”
- Traditional strategy to execution cycle has to be flipped.
- Strategy is now better built by looking back from execution – by “**connecting the dots**”

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Strategy is the starting point for most businesses. However, the best-laid plans have not been able to survive the reality of the VUCA world. You do need to have clarity as to your purpose and your long-term bets, but the strategy for getting there cannot be cast in stone. It has to be light and agile. Rather than strategy, it is the execution that is most important – getting

runs on the board and failing fast. Successful execution can help you discover your strategy by connecting the dots across what works and what does not. Therefore, the strategy-to- execution cycle changes from what it has been traditionally. Strategy now lies not in looking forward but in looking back from execution.

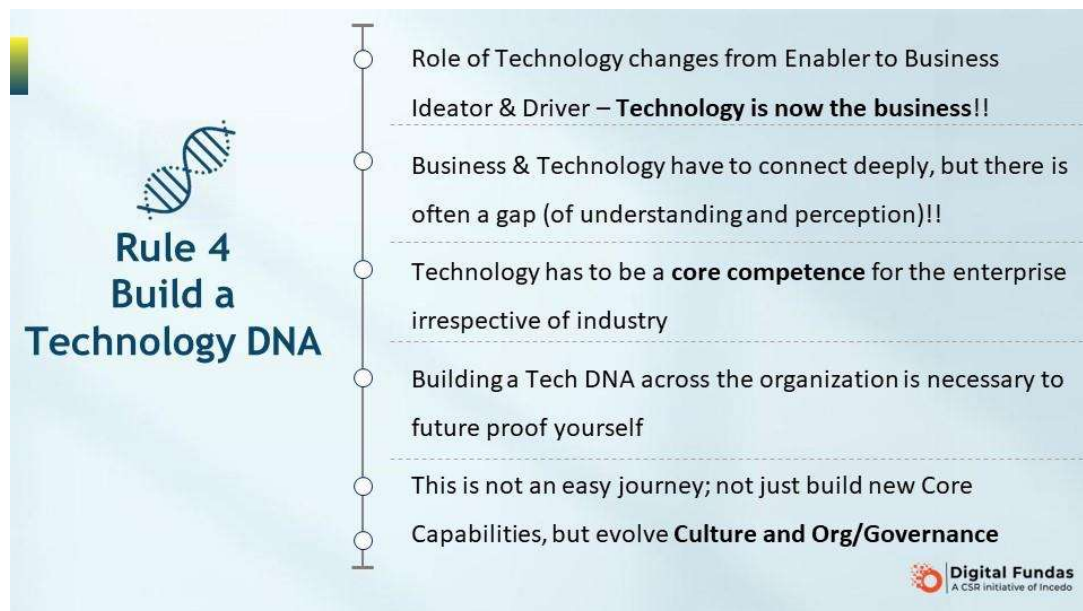
Rule 3 – Co-create with customers



Most companies talk about ‘customer first’ but very few live it. In corporate and executive action, there is sometimes conflict between what we think is right for the customer and what is right for the business (in the short term). These boundaries have to break in the VUCA world. ‘Customer-centricity’ and ‘customer-first’ can no longer be mere slogans but have to be taken to a totally different level for a firm to succeed in the VUCA world. You will not have the time for long feedback loops. Therefore, you have to co-create with your customer: the relationship has to move, your customer changing from client to partner. Working relationships will become iterative, with multiple checkpoints and points of interaction. The good news is that this real-time and iterative mode of working can be enabled by technology.

For those in the B2C industry, personalization will become more and more important. Until recently, we were talking about customer segmentation, but technology allows you to understand and reach out to every individual customer. Your ability to manage the huge quantum of customer data that you now generate and your ability to draw sharp insights from it will become key differentiators.

Rule 4 – Every company has to become a technology company



Traditionally, companies have focused on the core functional capabilities of their industry and have seen technology as a support function. However, in an era of constant technology disruption, technology has to be a core competence, irrespective of the industry in which one is operating. It has to move from being an enabler to being a core source of ideation, of strategy and of competitive advantage for your business. Business and technology have to connect deeply, but often there is a gap in understanding on both sides. Building a technology DNA for your company is probably the most important step you can take to future-proof your business.

I must warn you that this is not an easy journey. It is not just about building new capabilities but also about evolving your culture. This journey can take many years. However, it is a journey you have to embark on *now*. If there is one action point you take away from this chapter, please see this as the most important one.

Rule 5 – Simplify organizational structure and processes



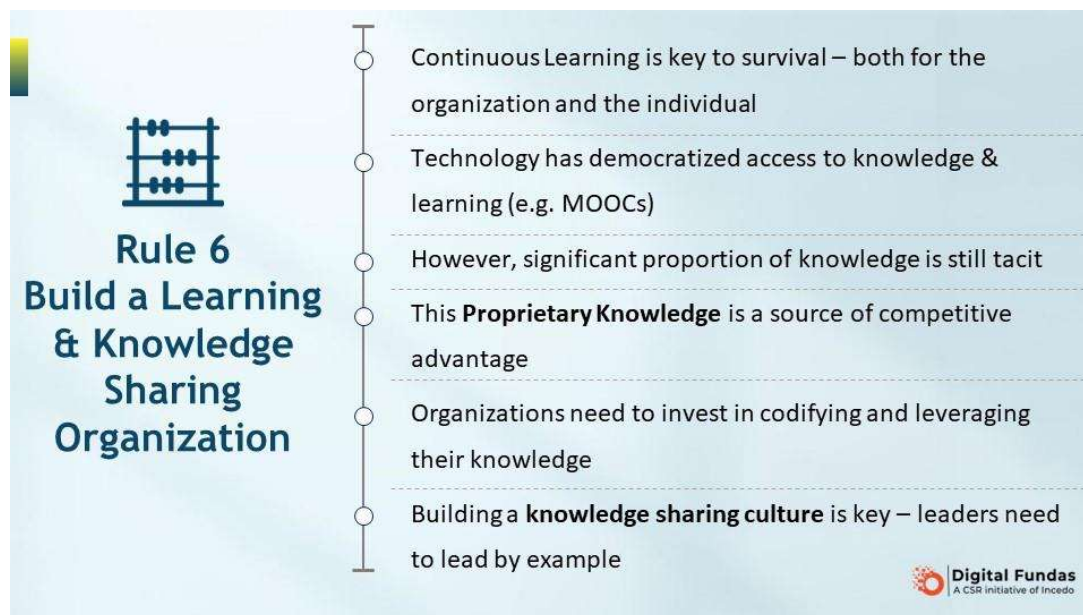
To handle the constant change and uncertainty of the VUCA world, you have to rethink your organizational structure and processes. Traditionally, the foundation of organizational structure and processes has been risk management: this means putting in place enough controls to ensure that nothing goes wrong. Over time, as the business and organization grow, the layers increase and processes become complex, retarding speed of execution. This runs contrary to the key requirements for competing in the VUCA world.

Three principles are important as you redesign your organizational structure and processes:

- Speed over risk management
- Simplicity over perfection
- Empowerment over control

These principles imply a flatter organizational structure and a likely shift from vertical to more horizontal structures, both of which facilitate cross-functional collaboration. In addition, you will almost certainly need to simplify your internal processes and reduce controls, keeping in mind that both customers and employees are now equally your primary focus.

Rule 6 – Build a learning and knowledge sharing organization



Continuous learning is key for survival in the VUCA world – both for the organization and the individual. The good news is that technology has democratized access to knowledge and learning. For example, MOOCs (massive open online courses) make it very easy for people to access world-class educational content. However, a significant proportion of knowledge is still tacit (not codified, residing in the minds of people). This proprietary knowledge is an important source of competitive advantage in a world where information is easily available. Organizations need to invest in codifying and leveraging their proprietary knowledge. For this, building a knowledge sharing culture is key, and leaders need to lead by example.

Rule 7 – Build an open organization and web of partnerships



Nobody can win it alone in the VUCA world; collaboration is key. There is a host of new players emerging; see them as an opportunity. Build and/or leverage open innovation platforms for collaboration. In addition, scan the value chain of your industry and look for partnership and/or acquisition opportunities on a continual basis. You have to be very dynamic about this because the boundaries between partner and competitor are very fluid now, and either can metamorphose into the other very quickly. 'Coopetition' (collaboration between business competitors) will increasingly become the norm.

Another aspect of open organization and web of partnerships is the importance of leveraging the global advantage. VUCA world is truly boundaryless. So, don't be stuck in a silo and think global both from a markets and delivery capabilities perspective.

Rule 8 – Foster entrepreneurial leaders and culture



With the rules of management changing, expectations from talent will also change. Clearly, ‘what got them here will not get them there’ is a cliché, but one that is very true. Companies will need more leaders, not managers. This will require managers to unlearn and relearn. It will be a big challenge for successful managers who are well set in their ways.

Companies will need to build a more entrepreneurial culture, one that is more aligned to a tech DNA. There are at least four important changes that both enterprise and individuals need to make:

- Build a higher tolerance of chaos and acceptance of failure
- Inculcate a learning culture: encourage brutal honesty and humility over hubris
- Ability to manage duality: i.e., deal with seemingly conflicting objectives like short-term and long-term, speed and thoughtfulness at the same time
- Finally, build resilience: whatever you do, you will face knocks. So, build the ability to bounce back. Personal anchors and change management thus become critical.

We are living in very exciting times. Change is a constant. It can be a huge challenge or an enormous opportunity, depending on your approach. Transforming the enterprise to win in the VUCA world entails *deep surgery*, requiring an extensive change in both organizational and individual principles and priorities. It might seem like a daunting journey, but the rewards are high.

Nitin’s Conclusion:

I have talked about the eight new rules of management to win in the VUCA world. But if there is one I recommend that enterprises focus on first, it would be building a deep tech DNA and capabilities. Tech disruption is the most fundamental of the disruptive forces at work in the VUCA world. Tech disruption is not a one-off but a fundamental feature of the times we are in. Therefore, enterprises have no option but to build a strong tech DNA to future-proof themselves. It is a difficult transformation to make, but an absolutely essential one. To build and sustain a tech DNA, the organizational culture will need to evolve significantly. This, clearly, is not a ‘quick fix’ but a comprehensive effort that has to be blessed from the top and sustained over a period of time.